

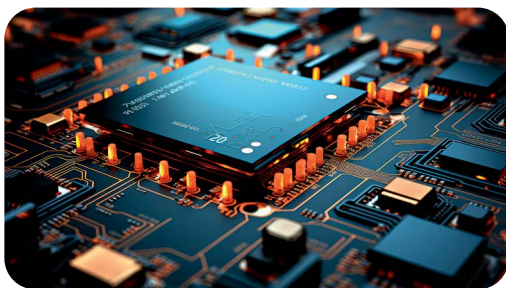
Building India's Silicon Heartland: Uttar Pradesh's Strategic Push into Semiconductor Manufacturing

FOCUS
UTTAR PRADESH



Yogi Adityanath
Chief Minister, Uttar Pradesh

As India works to strengthen its domestic semiconductor industry, Uttar Pradesh is positioning itself as one of the emerging manufacturing hubs. The Uttar Pradesh Semiconductor Policy 2024 is designed to complement the Centre's India Semiconductor Mission by adding state-level support for semiconductor fabrication and ATMP/OSAT facilities, with the Yamuna Expressway Industrial Development Authority region emerging as a key location. Semiconductor manufacturing demands enormous capital and long-term commitment. The state's approach is therefore aimed at making such investments more viable while creating the infrastructure and ecosystem required



for the industry to grow. The focus extends beyond individual projects to the conditions that can attract manufacturers, suppliers, researchers and skilled professionals to the state. The opportunity is particularly significant because semiconductor manufacturing can create activity across a much wider industrial value chain. Major facilities require equipment suppliers, component manufacturers, engineering services, logistics providers and specialised talent. Over time, anchor investments can therefore become the foundation for a broader electronics and technology ecosystem. Building the Foundations for a Semiconductor Ecosystem

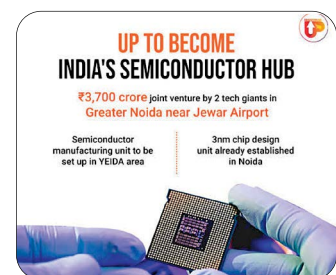
Reliable infrastructure is central to this ambition. Semiconductor facilities require dependable power, water and operational stability, making infrastructure quality a critical part of investment decisions. Uttar Pradesh's policy approach combines investment support with measures intended to strengthen the operating environment for these facilities. The same thinking extends to research and talent. Semiconductor manufacturing will require engineers, technicians, researchers and specialised professionals, while sustained growth will depend on the ability to develop capabilities locally. Support for research centres, Centres of Excellence, specialised training, internships and talent development is therefore intended to create a stronger pipeline around the emerging industry. This combination of manufacturing, infrastructure, research and skills could give Uttar Pradesh an opportunity to develop capabilities that extend beyond individual projects and support the sector over the long term. Early Investments Signal the Ambition



Narendra Modi
Prime Minister of India

"A developed India can only be achieved when the country becomes self-reliant, and for that, it is extremely important that chips are made in India"

The strategy is already translating into major investments in the YEIDA region. The state has approved more than ₹8,500 crore in incentives for two major semiconductor projects, representing combined investments of more than ₹32,000 crore and an expected employment impact of around 15,000 jobs. Tarq Semiconductors is developing a compound semiconductor facility, while Vama Sundari Investments, backed by HCL and Foxconn, is establishing an OSAT facility.



Key Policy Highlights

- Capital support: State support linked to the capital assistance approved under the India Semiconductor Mission.
- Land and infrastructure: Support designed to reduce the barriers associated with establishing large semiconductor facilities.
- Power and operational support: Measures aimed at improving reliability and long-term cost competitiveness.
- R&D and innovation: Support for research centres, Centres of Excellence and patent-related activities.
- Talent development: Assistance for specialised skilling, internships and recruitment of high-quality talent. At a Glance
- ₹8,500 crore+ in incentives approved for two major semiconductor projects in YEIDA
- ₹32,000 crore+ in combined investment represented by the projects
- Around 15,000 jobs expected from the initial anchor projects
- FAB and ATMP/OSAT identified as key areas of semiconductor manufacturing
- YEIDA emerging as a strategic location for the state's semiconductor ecosystem